stock sold for 134½, 85 times 1991 earnings, having risen fifty times in value in eight years. In twenty months, with the market averages *rising*, USS fell to 19⅞, down 85%. That is what speculative stocks can do in a *bull* market. How do you think a bear market will treat them? The upcoming bear market will reveal yet another most disconcerting fact: Secondary stocks become highly illiquid in bear markets. When investors and money managers try to get out of their secondary stock positions, there will be no buyers except at fire sale gap-lower prices.

The Outlook For Secondary Stocks

Might secondary stocks suddenly "come alive" and assume leadership? There is no chance of this occurrence. Besides the discussion above and the additional reasons that will be presented in Chapter 9, the wave structure of the VLC/DJIA ratio suggests that renewed relative weakness for secondary stocks lies directly ahead. As you can see by Figure 8-5, the VLC/DJIA ratio traced out five waves down from 1983 to 1990 and a corrective pattern up that ended in 1992, indicating that the bear market in secondary stock relative strength that began twelve years ago (and on the larger trend, 27 years ago in 1968, as you will see in Figure 9-8) is resuming. If wave III has indeed begun, the ongoing relative weakness will soon enter "collapse" mode.

The increasingly selective blue chip leadership since 1983 and especially since 1986 is a classic precursor of a major bear market in *all* stocks. The last time a long period of secondary stock underperformance in a bull market ended was January 1973, a top that led to the biggest bear market in forty years. The analogy to early 1973 is particularly interesting in that the time span then between the Value Line peaks on the one hand and the final highs in the Dow and S&P on the other was a Fibonacci **5** years from 1968 to 1973. Today, the span would be a Fibonacci **8** years from the Value Line peak of 1987 to 1995, which is expected to market the final high for the Dow and S&P. The current duration is **1.618** times the earlier one, reflecting the fact that the top is of greater degree.

Given the extreme downside projections for the DJIA made in Chapter 5, one can only guess how low secondary stocks will fall. There is little question that by the end of the first decline of Supercycle degree, a substantial percentage of today's secondary stock companies will have gone out of business, and once again (as occurs every so often in history), buying low priced stocks will be viewed as